Jefferies

USA | Clean Energy

Fluence

Equity Research
November 26, 2025

FLNC Means BESS-iness: Margins on the Mend & US in Recovery. UG to Hold, $16 PT

FLNC delivered a mixed F4Q / FY25 with a $300Mn topline miss offset by better than expected gross margins and adj. EBITDA for the FY. Real highlight of the call was the setup for FY26+, looking increasingly better as FLNC gets closer to AESC resolution and sees early signs of a US recovery. We upgrade to HOLD as we expect incremental improvement from here and see data centers as a tangible, NT opportunity.

Why We're Upgrading: Recovery Finally in Sight. FY25 was a challenging year for FLNC, with OBBB volatility, fluctuating tariffs and weak US performance, but the FY26+ setup looks increasingly compelling post F4Q, driving our upgrade to Hold. Despite new order intake declining 33% y/y for the full-year, this Q was encouraging, with new orders up +21% y/y and reflecting a return to growth after three consecutive down quarters. Gross margin was better than expected, and FY26 initial guide of 12% at the midpoint was above Street at 10.9% (prior to the call). There's more progress to be made, but we think FLNC is on track for a recovery in its core US market, with macro headwinds largely behind.

Still Have Reservations, But Expect NT Resolution That Can Unlock Upside. FLNC looks better positioned for FY26, but we await clarity on larger roadblocks that could prolong a US recovery if not resolved. **First**, we need to see AESC compliant with FEOC policy, as the >25% equity ownership from a prohibited foreign entity (ie China) automatically disqualifies FLNC BESS using AESC cells. Mgmt. securing a second US cell supplier in addition to AESC is an obvious positive, but timeline to available supply is not so near term, closer to 2027 vs. 2026. **Second**, we are watching the evolving AES/FLNC relationship. FLNC's share price is up nearly 4.5x since the lows of summer; AES may consider monetizing some of its stake in FLNC, which could put into question their supply agreement. Related parties (via AES) contributed ~$560Mn to FY25 rev, or ~25%. And **third**, we're watching to see how US demand for FLNC BESS plays out as non-US competitors begin to enter the US market to take share from China post FEOC. FLNC's progress in F4Q was promising, with Americas contributing ~30% of the $1.4Bn new orders, but can FLNC maintain its competitive edge as new peers enter the US market?

Bottom line, we're upgrading given ongoing improvement in end-market signals. The push for datacenter procurement began this Summer & has breathed new life into less competitive products. If FLNC can indeed deliver on AESC, which we deem as the most critical to resolve, we anticipate incremental upside driven by US demand for FEOC compliant + domestic content qualifying product that, today, only FLNC and TSLA can supply. While margin expansion is admittedly a 'show-me' story, we argue it's not impossible post AESC resolution.

We are incrementally positive on FLNC and upgrade to Hold with a $16 PT as we roll-forward our DCF 1-yr post FY25 results and MtM our peer multiples on EV/EBITDA and FCF yield valuations.

FY (Sep)	2024A	2025A	2026E	2027E
EPS Non-GAAP	0.17	(0.40)	(0.28)	0.12
Cons. EPS Non-GAAP	0.28	(0.24)	(0.03)	0.58
EBITDA (MM)	77.9	19.5	54.0	113.0
Cons. EBITDA	(49.3)	19.5	49.1	143.9

RATING | TARGET CHANGE	
RATING	↑HOLD (UNDERPERFORM)
PRICE	$16.77^
PRICE TARGET | % TO PT	↑$16.00 ($11.00) | -5%
52W HIGH-LOW	$23.74 - $3.46
FLOAT (%) | ADV MM (USD)	48.8% | 135.51
MARKET CAP	$3.1B
TICKER	FLNC

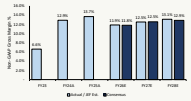
^Prior trading day's closing price unless otherwise noted.

FY (Sep)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV*	+6%	+8%	NA	NA
EBITDA	+8%	+19%	+10%	-21%

2026 ($)	Q1	Q2	Q3	Q4	FY
EBITDA	↓(41.7)	↑(6.4)	↑17.0	↓85.1	↑54.0
PREV	(35.2)	(12.8)	5.5	92.7	50.2

*Rev. (MM)

Exhibit 1 - Margins are on the mend - expect incremental improvement away from low-end of target range (10-15%)



Source: JEF Research, Company documents and filings, Visible Alpha

Exhibit 2 - Americas represented ~30% of F4Q new order intake



Source: Company documents and filings

Julien Dumoulin-Smith * | Equity Analyst
+1 (281) 774-2066 | jds@jefferies.com

Paul Zimbardo * | Equity Analyst
+1 (212) 778-8497 | pzimbardo@jefferies.com

Dushyant Ailani, CFA * | Equity Analyst
1 (212) 778-8318 | dailani@jefferies.com

Hannah Velasquez * | Equity Associate
+1 (347) 982-6038 | hvelasquez@jefferies.com

Luke Fenker * | Equity Associate
+1 (713) 308-4523 | lfenker@jefferies.com

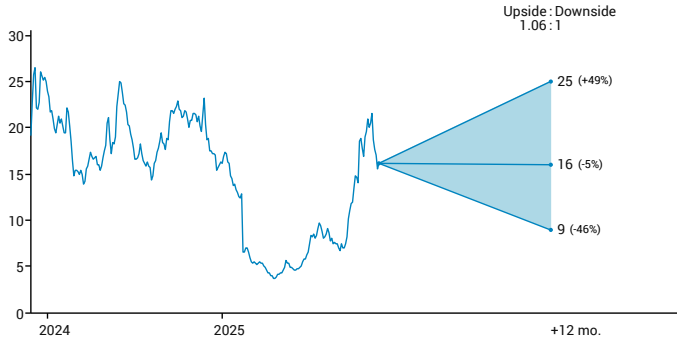
Qudrat Qureshi * | Equity Associate
(646) 530-5925 | qqureshi@jefferies.com

The Long View: Fluence

Investment Thesis / Where We Differ

Fluence is poised to capture the accelerating US energy storage boom as IRA incentives and FEOC requirements reshape the market. With macro headwinds easing and demand surging from grid reliability and data centers, FLNC's US-first strategy positions it as one of the few players able to deliver compliant solutions at scale. Near-term hurdles like AESC qualification remain, but resolution could unlock significant upside as U.S. demand rebounds and global orders stay strong. Data centers add another powerful growth catalyst for FLNC's Smartstack systems, though opportunity is likely farther out on the horizon.

Risk/Reward - 12 Month View



Base Case,
$16, -5%

Fluence delivers within range of FY26 revenue guidance and continues to see demand improve in FY27/FY28, with just a few data center wins announced. Margins approach high end of target range over next +5-yrs. FLNC relies on Chinese supply chain in the NT but is able to comply AESC facility under new FEOC requirements and deliver compliant, ITC qualifying product to US customers. While Chinese suppliers remain competitive, demand for domestic systems improves as customers factor in ramping FEOC, ITC value, and cybersecurity concerns.

Upside Scenario,
$25, +49%

FEOC restrictions allow FLNC to gain share with US developers as developers prioritize ITC over cheaper pricing from China. FLNC scales up its domestic capacity to meet rising demand, partially driven by data center/AI tailwinds in addition to favorable IRA policy. FLNC battery proves a viable solution for data center offtake, supporting backlog growth. Margins increase to the high end of the 10-15% range, with incremental margin expansion thereafter driven by 45x qualification on cells and cost synergies at AESC facility.

Downside Scenario,
$9, -46%

FLNC does not solve for FEOC immediately, with supply from second vendor not available until late 2026 / early 2027. FLNC is uncompetitive in the NT, given higher pricing and no ITC. Expect volumes to decline while margins remain at the low end of target range of 10-12%. Data center traction is minimal to non-existent.

Sustainability Matters

Top material issues:

1) Responsible sourcing - Fluence's Responsible Sourcing and Supply Chain & Procurement teams collaborate to safeguard both people and environment against potential hazards stemming from supply chain failure.

2) Conflict mineral diligence - Fluence instructs suppliers to source materials from suppliers who also source responsibly, including from legitimate, conflict-free mines.

Fluence has not yet established any climate related targets.

Questions to management:

1) How should we think about push-outs of 2025 pipeline to accommodate projects deferred from 2025?

2) How has win-rate (conversion of Energy Storage pipeline to contracted backlog) progressed since the F3Q update?

3) How does the US margin profile compare with international for 2025+?

Catalysts

- AESC resolution with minimal need for external capital
- Announcement of large energy-storage project wins, in US and internationally
- Data centers & AI projects cycle out of the pipeline into backlog
- Accelerated demand for FEOC-compliant, US BESS despite backlog of safe harbored equipment to delay FEOC
- Higher Chinese tariffs impacting FLNC
- Improving margin profile

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

We're Incrementally Constructive on FLNC - Upgrade to Hold

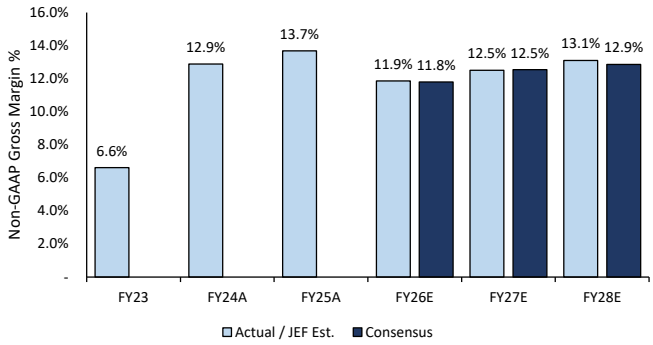
We're incrementally constructive on FLNC post FY25 results and upgrade to Hold as we await signs of progress on near-term challenges that could unlock upside to our forecast. Namely, we think F4Q commentary was positive, suggesting a gradual recovery on both US demand and broader company profitability, while the data center opportunity is likely more tangible for FLNC than buyside might realize. There's more work to be done, and we flag below in the report key reservations and considerations that keep us cautious, but we credit the company for navigating such a challenged FY25. Addressing our points of concern, specifically on AESC / FEOC, would get us more constructive on the story, but we now feel better about management's ability to deliver post F4Q. The company has been calling for a recovery for a few quarters now, but this time, we think recovery is truly within sight over the next 12-months.

The market outlook has principally recovered on account of datacenters - principally as part of encouraging expedited entry by using grid-firming deployment to both enable utilities to interconnect them with fewer Transmission/substation upgrades [see DTE as the best example of this trend in size/scale] as well as with datacenters themselves. Related, we see voltage ride-thru considerations and grid stability requirements that will be imposed on datacenters as only further encouraging BESS adoption [in short durations] to help stabilize the backdrop.

As BESS has become a core part of the DC procurement discussion [our latest discussions point to an ongoing need to procure], sentiment has markedly improved. Shares of FLNC present the most operational leverage to the core thesis and hence have improved dramatically. While we still worry about their ultimate competitiveness, and supply chain resolution, we believe investors are likely to underwrite the market backdrop. We flag for instance our recent estimated improvement in '26 demand, where we had initially perceived a market 'divot' lower before improving in FY27: this appears to smoothing itself out.

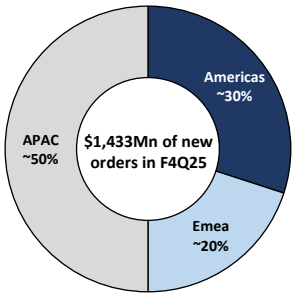
Key risks to our upgrade include competitiveness of its product including as it pertains to data center specific applications, as well as equity market risk - could see management raise additional equity [even if the AESC raise to acquire the acquisition is modest]. Furthermore, we see clear lingering risk that AES and Siemens could liquidate their shares in FLNC. AES balance sheet over-leverage is as pressing as ever.

Exhibit 3 - See margins gradually improving from here, but still too soon to call for >15%



Source: JEF Research, Company documents and filings, Visible Alpha

Exhibit 4 - Encouraging that Americas represented 30% of F4Q new order intake; we want to see more quarters like this and eventual ramp to ~50% for the region



Source: Company documents and filings

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

What We Like

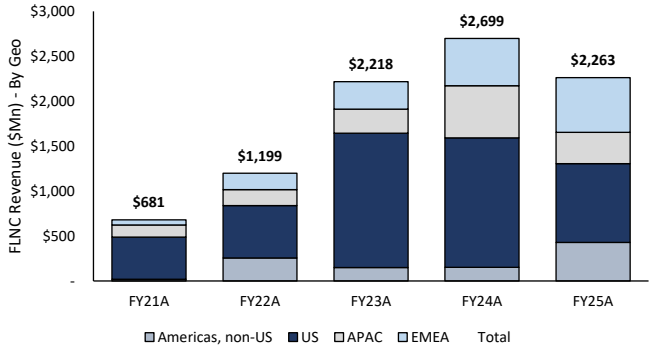
US Demand on the Rebound

Not a Strong FY25 for US Market. US demand has been weak through most of FY25, pressured by post Liberation Day tariffs, OBBB uncertainty, and ongoing competition from Chinese players with lower ASPs and better systems. The company reported that US revenues were down 39% y/y in FY25, with share of total revenue declining from 53% last year to now 39%. We think Liberation Day tariffs, which peaked at ~150% before settling back down to ~40%, were a major constraint in the fiscal year, driving customers to pause orders and hence delay revenue that would have otherwise been recognized in FY25. While order activity resumed gradually over time, the July introduction of Foreign Entity of Concern requirements was an unexpected and unplanned for trojan horse, seeming like an advantage at first only to be revealed as yet another regulatory challenge given FLNC's relationship with Chinese owned AESC. To make matters more complicated, the OBBB created a 6-month safe harbor window that allowed developers to lock-in the storage ITC on Chinese equipment so long as they met safe harbor requirements ahead of January 1st. Even when assuming FEOC compliance on the AESC facility, this safe harbor dynamic would seemingly delay FLNC's advantage as a domestic system integrator. The macro backdrop has not been compelling for FLNC in FY25.

But We See Signs of a Domestic Recovery. But we think the tides are turning on US demand as we head into FY26. Management's comment that a majority of FY26 growth would come from the US market was striking, and while management has been calling for a recovery over the past few quarters, we see tangible data points of a turnaround. The Americas region contributed 30% to F4Q order intake of $1.4Bn and 45% to FLNC's overall $23.4Bn pipeline, with the latter point similar to F3Q. In October, FLNC announced a 160MW / 640MWh order with US IPP Torch Clean Energy for its solar + storage facility in Arizona. This was particularly encouraging considering recent deal wins have primarily been non-US.

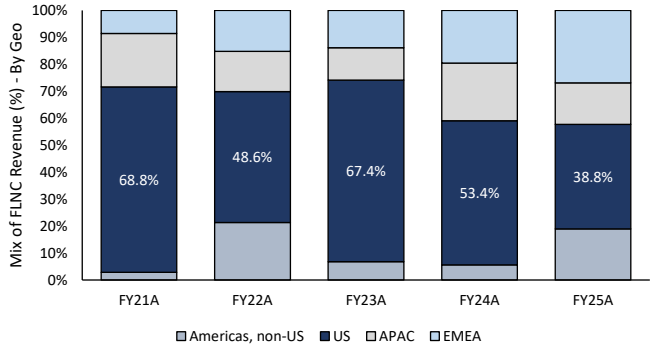
It's still early days, but we think Americas, and largely US, demand is on the road to recovery. While we had previously expected a delayed recovery in the US market due to the 6-month safe harbor window, we think customers are proactively reshoring BESS demand even earlier in anticipation of FEOC requirements stepping up each year. This trend is likely more applicable to utilities rather than developers in terms of customer profile but still a clear positive for FLNC considering FLNC is one of only two current domestic, LFP system integrators at scale in the US.

Exhibit 5 - US increasingly contributing less to overall revenue...
Revenue mix by geography - $Mn



Source: Company documents and filings

Exhibit 6 - US increasingly contributing less to overall revenue...
Revenue mix by geography - %



Source: Company documents and filings

Margins on the Mend

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Surprise Beat in FY25. Expect Margins to Continue to Improve. FLNC delivered a surprise beat on gross margins and EBITDA in FY25, and based on FY26 guidance, we think the company can maintain the momentum. Gross margins would have been under pressure in FY25 largely from Trump administration tariffs imposed on China, which FLNC was exposed to due to its 'blending' strategy for LFP (lithium-iron phosphate) battery cells. Even with tariffs, it was still cheaper to procure partial cell supply from China for its domestic systems. However, FLNC ***did not*** take the tariff hit to margins, choosing instead to hold the line on its 10-15% margin threshold and forgo volume instead, reflected in FY25 shipped volume of just 7.4GWh, down from 7.5GWh in FY24. Management has increasingly taken a disciplined approach to managing its margins even under constrained scenarios, as we saw with Liberation Day tariffs. The tariff environment has substantially improved, which we think should translate to a double positive on volumes and margins. While FY26 guidance of 11-13% was not heroic, it was directly in line with the company's target range of 10-15% and above Street expectations prior to the call at just 10.9%.

Bias to the Upside on Margins, But Don't Expect TSLA-level Margins. Once again, we think it's too early to call for substantial margin expansion from here, but we see upside bias to numbers following AESC resolution. FLNC has so meaningfully lagged Chinese BESS peers with gross margins exceeding 40% and even US peer Tesla with storage gross margin of around 30%, but this is largely due to a combination of FLNC's limited 45X capacity & retainage and its contract manufacturing at US facilities limiting margins. We think margins can incrementally improve from current low teen levels to the higher end of target range or even exceed the 15% threshold once AESC has been resolved. Management noted that if it were to take an equity stake in the AESC Tennessee facility, we could see some cost consolidation and synergies as a result, subsequently translating to margin improvement. Besides the cost efficiencies, we view 45X qualification as another avenue to contribute to expanding margins. Today, FLNC earns 45X on US-made modules ($10/kwh) but largely passes those credits through to customers via lower ASPs. Assuming AESC/FEOC compliance, we think FLNC could qualify for 45X on domestic cell as well, which commands a higher 45X credit of $35/kwh.

AESC resolution offers two ways to expand margins, but we are not immediately calling for FLNC margin reaching TSLA's +30% level. We view FLNC's gross margin as largely net of 45X (company does not disclose), making TSLA's ex-45X margin of ~18% a more appropriate benchmark. However, even if FLNC could claim 45X on cell production, we think the company would still pass some of the credit onto customers. We raise our forecast on gross margin to nearly 15% through 2030+ but hesitate to give more credit to the company.

Data Center Opportunity is Real

Battery Storage Uniquely Solves for Data Center Constraints. We perceive some data center fatigue among investors as companies within our clean energy coverage increasingly claim data center upside to come. However, we stress that the data center opportunity for batteries is more than real (see our note here) as more industry participants, both with renewable and fossil fuel backgrounds, point to battery storage as a low-cost solution for data centers seeking some form of utility interconnect or trying to limit their use of diesel generators. While actual data points today are limited considering how far away operational, hyperscaler data centers are, our checks along with a few press releases continue to point to LFP batteries with 2-4 hour durations as a recurring pick for data center use cases, which range from interconnect and load management, backup capacity, and managing power variability. We think FLNC is better suited for the first two use cases primarily, while other storage solutions (not necessarily *battery* storage) can better solve for volatile load fluctuations.

And FLNC Can Benefit. While we think low cost LFP battery storage likely from China or Southeast Asia will see the most gain from data center demand in the US, we see opportunity for FLNC's

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

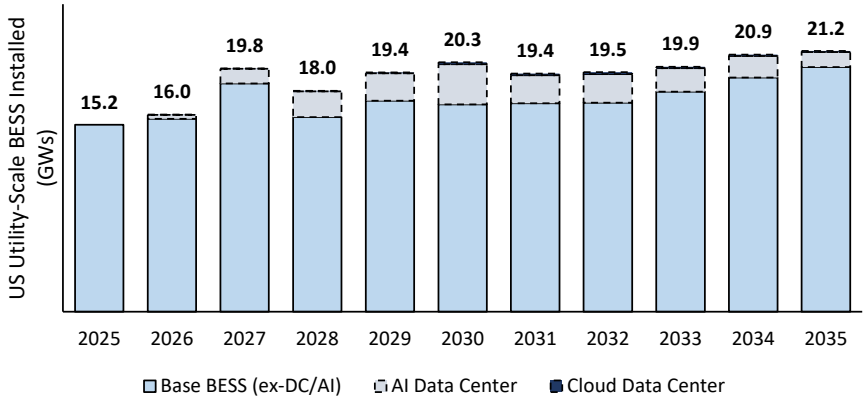
domestic systems despite the higher ASP. We anticipate some data centers will take the US' growing protectionist stance more seriously and voluntarily seek out domestic or non-Chinese BESS, especially as FEOC policy requires a shift away from prohibited foreign entities if asset owners want to claim the storage ITC. And as utilities increasingly collaborate with data centers on how to balance data center demand with grid reliability and affordability, we could see utilities pushing a domestic strategy on their data center offtakers given utilities' hesitation toward Chinese software on critical energy infrastructure implying cybersecurity risks.

Bottomline, we're not claiming FLNC is an obvious data center darling. However, we think FLNC's visibility into 30GWh of data center demand will translate to some real, firm orders. Of course, success with data centers is contingent on AESC resolution, but adding a second, domestic supplier derisks the US pipeline even if supply is not expected until 11-months out.

Will Data Centers Say Yes to the BESS? We think so. Direct DC procurement is only ~20GWs thru '35 on our latest outlook, but we see an upward bias to this. Indirect procurement thru utilities is much more.

Exhibit 7 - We see hyperscaler data centers adding approximately 20GWs of incremental BESS demand through 2035

JEF estimated utility scale BESS installs (GWs)



Source: BNEF, JEF Research, EIA, McKinsey

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

What We're Watching

Upgrading to Hold, But We Still Have Our Reservations. Here's What We're Watching

We're incrementally constructive on FLNC but think a 'Hold' rating is appropriate as we await more progress on AESC, updates on AES/FLNC dynamic, and US demand to ramp amid anticipated competition from new market entrants. We think these 'roadblocks' are largely manageable, but AESC resolution remains the most prominent in our view as FEOC policy takes effect beginning in January.

AESC Resolution is Front and Center. This is the Gating Item

AESC is Mission Critical. Our upgrade is largely driven by an anticipated US recovery for FLNC orders, but we emphasize that FLNC's US recovery itself is contingent on FLNC meeting FEOC requirements on its domestic cell strategy. FLNC's battery cell supply agreement with the AESC facility in Tennessee does not currently comply with FEOC requirements under the equity ownership threshold; Envision Energy, a prohibited foreign entity as defined by the OBBB, currently holds a >25% equity stake in AESC, thereby disqualifying AESC cells in FLNC systems for the base tax credit of 30%. While the company has been trying to resolve this ownership issue since passage of the OBBB in July, we continue to wait for a more substantial update on when/how FLNC gets there. We think resolution is imminent, as management provided a March deadline at the latest and later conversations with the team suggested an agreement may actually be closer, but we cannot overstate the importance of FLNC resolving AESC within the coming months.

Securing a second, domestic battery cell supplier is a positive, and derisks the longer-term pipeline by ensuring eventual supply of FEOC compliant systems. However, management revealed during the call that supply with this second vendor would not be available until late 2026, or for ~11-months per the company. Without AESC, FLNC would be exposed for most of 2026, unable to provide FEOC compliant systems for US customers.

How to Resolve AESC? We do believe management will resolve AESC ahead of its March deadline (note, not the January 1st FEOC deadline) and see limited risk of FLNC walking away from a deal. Realistically, we think FLNC will buy out Envision Energy's partial or full stake to ensure compliance with the 25% ownership threshold. In our F4Q preview note, we had outlined FLNC ownership as a potential outcome, though framing it as our least preferred method simply because of assumed need for external capital. While management noted during the 4Q call that it had available liquidity on hand to buy out the Envision stake if needed, we see potential for subsequent capital market activity in FY27 to fuel growth if partial buyout strains liquidity. We flag risk of equity issuance thereafter, though this will be dependent on implied valuation on the AESC facility. Management has implied that it can roll its inventory prepayment of ~$250Mn into an equity stake, with the $100-200Mn spend in FY26 across working capital and 'supply chain investment' likely representing at least partially the outstanding balance to buy out Envision's stake.

Despite the impact to liquidity and potential for subsequent capital issuances, we think the ends justify the means. Domestic cell supply is so limited at this point, any US player that can offer it in a post FEOC environment stands to benefit more near-term, with demand expected from customers that could not or chose not to safe harbor to delay FEOC. We view FEOC-compliance, and hence AESC, as crucial to FLNC's success and rebound in the US market. We watch for progress on this front.

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Watch AES / FLNC Dynamic as FLNC Shares Rally

We continue to watch the AES / FLNC dynamic closely as FLNC shares rerate to levels that may be more attractive to AES. Recall that the last time AES reduced its stake in FLNC was late 2023, when FLNC shares were trading in the low-to-mid $20s/sh range. As AES pursues various avenues to raise cash, we concede that FLNC may be up for consideration so long as FLNC shares remain resilient and/or rally further. Depending on the degree of potential liquidation, the purchase agreement between FLNC and AES may be at risk, notable considering AES (via related parties revenue) represented nearly 25% of FY25 revenue.

The purchase agreement requires AES to purchase certain storage offerings exclusively from FLNC so long as AES owns at least 20% of the then-outstanding voting power, though at preferred terms through the earlier of October 2028 or once AES's voting power falls below 10%. If AES lowers its voting control below 20% but above 10%, AES is no longer bound to the exclusivity terms of the agreement, but it can still purchase FLNC storage offerings at preferred terms. Once voting power falls below 10% or post October 2028 (whichever comes first), AES' favorable purchasing terms will cease. As of FY25 year-end, AES had maintained its 28.5% economic interest and 66.6% voting power in FLNC.

Waiting for US Ramp, But Watching Competitive Landscape Evolve

Watch for Competition from New Entrants Post FEOC. Lastly, we are watching the US recovery unfold for FLNC in FY26 - FY28 amidst anticipated competition largely stemming from incumbents (TSLA) and new, South Korean entrants. In our domestic LFP cell note, we had identified from where domestic LFP cell production would come in a post FEOC environment. Our takeaway was that by 2027/2028, the US would have >100GWh of annual, run-rate production capacity of domestic, LFP ESS cell, compared to an estimated <5GWh today (FLNC/AESC). Of the +100GWh/yr of supply coming online in the next 2-3yrs, approximately 50GWhs are expected to come from Tesla while the remaining capacity is expected to be supplied by South Korean peers like LG Energy Solutions, SK On, Samsung SDI and non-South Korean peer Canadian Solar.

Among these 'newer to BESS' players, some will offer LFP supply only, suggesting potential supply agreements with FLNC in the future if FLNC does indeed need to expand its domestic production capacity beyond what's currently planned across AESC lines 1 and 2 (delayed to 2026) and this new, second supplier. However, some of these peers are entering the US market with their own integrated system, like SK On, Canadian Solar and Samsung SDI. We believe the introduction of FEOC, coupled with softer than anticipated EV demand, provides an opportunitistic play for South Korean players with low-utilization EV production lines in the US to convert to ESS cell manufacturing and take advantage of the faster growing BESS market.

But Can South Korean Peers Deliver on Domestic Supply? We frame our upgrade as largely driven by a rebound in US orders but flag evolving competitive landscape as a risk that could impede FLNC's ability to recapture US market share, especially if some of these new system integrators can better compete on domestic ASPs. It's too soon to tell considering supply from many of these peers isn't expected until late 2026 or later. As well, we flag execution risk. Even though we've identified >100GWh/yr of production capacity planned to come online, it's just planned for now, and Chinese competitors appear unconvinced their South Korea counterparts can deliver on such ambitious goals in the US and actually take share.

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Exhibit 8 - New competitors (and cell suppliers) enter the mix
Incoming domestic LFP cell supply in the US

Company	Location	Operational	Capacity/YR (GWh)
LG Energy Solution	Holland, MI	2025	16.5
AESC - Line 1	Smyrna, TN	2024	3.3
Tesla	Houston, TX	2026	50.0
AESC - Line 2	Smyrna, TN	2026	3.3
Canadian Solar	Shelbyville, KY	2025	3.0
Canadian Solar	Shelbyville, KY	2026	6.0
LG Energy Solution	Holland, MI	2026	13.5
Samsung SDI	Kokomo, IN	2026	15.0
Total annual domestic capacity (supply)			**110.5**
*Kore Power	Buckeye, AZ	2026	6.0
**Kore Power is selling its production facility*			
Total annual domestic capacity, incl. Kore			**116.5**

Source: JEF Research, Company press releases and materials
*Based on announced plans by company and subject to change

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Updating our Forecast - Giving Credit Where It's Due

We update our forecast for F4Q / FY25 results and FY26 guidance, resulting in topline revenues 6-10% above our prior forecast and higher adj. EBITDA, more materially so in FY27+.

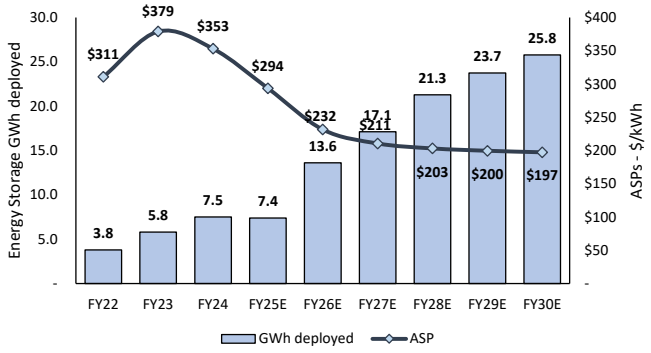
Revenue. Our revised revenue estimates are driven by lower ASPs, based on management's commentary, but offset by materially higher volume expected in FY26 and beyond. While we are at the low end of guidance in FY26, with an estimate of $3,242Mn, we note that our volume estimate of 13.6 GWh reflects a +84% y/y growth rate off of 7.4GWh deployed in FY25. We estimate that the $300Mn of revenue pushed forward into FY26 represents 1 - 1.2GWh, suggesting normalized FY26 volume would have been closer to ~12.5GWh. Post FY26, we assume continued strength in volumes offsetting continued declines in ASPs through FY28, with FY28 peaking for y/y growth at ~21% y/y. We think FY27 - FY29 could be elevated in terms of US demand as backlog of safe harbored equipment rolls off.

Gross Margins. We increase gross margins materially, now expecting 11.9% in FY26 (11% prior), 12.5% in FY27 (11.2% prior), and 13.1% in FY28 (11.6% prior). While we assume y/y margin expansion, our margin forecast does not exceed 15%. We see upside risk to our estimates given possible further execution and updates on margin impact from AESC resolution.

EBITDA. Adjusted EBITDA is higher on higher gross margins given the embedded operating leverage in the model.

Free Cash Flow. Our FCF estimates are higher vs. our prior forecast in all years except FY26 and FY27. With higher revenue growth now expected in both years vs. our previous outlook, we forecast higher working capital need, pressuring FCF in the near-term. In FY26 specifically, management commentary calling for $100Mn of working capital use against adj. EBITDA guidance of $50Mn at the midpoint suggests to us another year of negative FCF generation. It's unclear to us whether the $100Mn investment called out in the quarter would be reflected in FCF or elsewhere in the cash flow statement, but we omit from our FY26 FCF estimate. Post FY27, we continue to assume working capital needs each year revenue grows y/y.

Exhibit 9 - Revising ASPs lower but volumes up vs. our prior outlook



Source: JEF Research, Company documents and filings

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Exhibit 10 - Assumptions underlying our energy storage forecast
In $USMn, except industry and per share data

		FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E	FY28E	FY29E	FY30E
	Pipeline (GW)	**14.2**	**9.3**	**12.2**	**25.7**	**35.7**	**52.3**	**70.1**	**78.4**	**86.6**	**92.8**
	Y/Y Growth	--	*(34.3%)*	*31.2%*	*110.7%*	*38.9%*	*46.4%*	*34.2%*	*11.9%*	*10.3%*	*7.2%*
	Contracted backlog (GW)	**2.7**	**3.7**	**4.6**	**7.5**	**9.1**	**8.9**	**9.2**	**9.6**	**9.8**	**9.9**
	Y/Y Growth	--	*38.1%*	*24.3%*	*63.0%*	*21.3%*	*(2.1%)*	*3.0%*	*4.9%*	*1.6%*	*1.0%*
P	**ASPs - $/kWh**	**-**	**310.8**	**378.9**	**353.1**	**293.6**	**231.6**	**210.6**	**203.2**	**199.6**	**197.3**
X	*Y/Y Growth*	--	--	*21.9%*	*(6.8%)*	*(16.9%)*	*(21.1%)*	*(9.0%)*	*(3.6%)*	*(1.7%)*	*(1.2%)*
Q	**GWh deployed**	**-**	**3.8**	**5.8**	**7.5**	**7.4**	**13.6**	**17.1**	**21.3**	**23.7**	**25.8**
	Y/Y Growth	--	--	*52.6%*	*29.3%*	*(1.3%)*	*83.9%*	*25.8%*	*24.3%*	*11.6%*	*8.6%*
=	**Storage revenue**	$674	$1,181	$2,198	$2,648	$2,172	$3,151	$3,606	$4,325	$4,741	$5,088
	Y/Y Growth	--	*75.1%*	*86.1%*	*20.5%*	*(18.0%)*	*45.0%*	*14.5%*	*19.9%*	*9.6%*	*7.3%*

Source: JEF Research, Company documents and filings

We remain modestly below Street here despite our upgrade. Margins relative to peers are lower as well. We perceive ongoing competitiveness issues lingering thru the decade. In an improving market, we perceive issues on competition will remain muted.

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Exhibit 11 - Revising our forecasts higher as recovery looms near
In $USMn, except industry and per share data

FLNC - JEFe vs Street	FY-2022	FY-2023	FY-2024	1QFY-2025	2QFY-2025	3QFY-2025	4QFY-2025	FY-2025	1QFY-2026	2QFY-2026	3QFY-2026	4QFY-2026	FY-2026	FY-2027	FY-2028	FY-2029	FY-2030
Contracted backlog - Energy Storage, GW	**3.70**	**4.60**	**7.50**	**7.80**	**7.50**	**8.20**	**9.10**	**9.10**	**9.67**	**9.34**	**9.04**	**8.91**	**8.91**	**9.17**	**9.63**	**9.78**	**9.88**
Y/Y chg, %	*+38.1%*	*+24.3%*	*+63.0%*	*+52.9%*	*+41.5%*	*+24.2%*	*+21.3%*	*+21.3%*	*+23.9%*	*+24.5%*	*+10.2%*	*-2.1%*	*-2.1%*	*+3.0%*	*+4.9%*	*+1.6%*	*+1.0%*
Street (VA)	*3.70*	*4.60*	*7.50*	*7.80*	*7.50*	*8.20*	*9.10*	*9.10*	*9.46*	*9.84*	*10.24*	*10.65*	*10.65*	*13.06*	*16.18*	*19.30*	*22.57*
vs. Street			*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*+2.1%*	*-5.1%*	*-11.7%*	*-16.3%*	*-16.3%*	*-29.8%*	*-40.5%*	*-49.3%*	*-56.2%*
Deployed (inc. partial), GWh	**3.8**	**5.8**	**7.5**	**0.5**	**1.3**	**1.8**	**3.8**	**7.4**	**1.2**	**2.8**	**3.0**	**6.5**	**13.6**	**17.1**	**21.3**	**23.7**	**25.8**
Y/Y chg, %		***+52.6%***	***+29.3%***	*-50.0%*	*-27.8%*	*+63.6%*	*+5.6%*	***-1.3%***	*+143.5%*	*+118.8%*	*+68.4%*	*+71.4%*	***+83.9%***	***+25.8%***	***+24.3%***	***+11.6%***	***+8.6%***
BNEF GWh growth - US BESS ADDITIONS	***10.5%***	***77.7%***	***60.7%***	*--*	*--*	*--*	*--*	***22.9%***	*--*	*--*	*--*	*--*	***13.3%***	***1.7%***	***45.4%***	***14.7%***	***(0.9%)***
ASP - $ / kWh deployed	**310.8**	**378.9**	**353.1**	**339.5**	**305.6**	**324.3**	**268.8**	**293.6**	**270.7**	**241.7**	**254.6**	**209.1**	**231.6**	**210.6**	**203.2**	**199.6**	**197.3**
Y/Y chg, %		*+21.9%*	*-6.8%*	*-4.9%*	*-10.4%*	*-24.5%*	*-19.7%*	*-16.9%*	*-20.3%*	*-20.9%*	*-21.5%*	*-22.2%*	*-21.1%*	*-9.0%*	*-3.6%*	*-1.7%*	*-1.2%*
Energy Storage revs, mm	**1,181.0**	**2,197.9**	**2,648.0**	**169.8**	**397.3**	**583.8**	**1,021.5**	**2,172.4**	**329.5**	**687.2**	**772.0**	**1,362.1**	**3,150.9**	**3,606.4**	**4,325.2**	**4,741.3**	**5,087.7**
Y/Y chg, %	*+75.1%*	*+86.1%*	*+20.5%*	*-52.4%*	*-35.3%*	*+23.5%*	*-15.2%*	*-18.0%*	*+94.1%*	*+73.0%*	*+32.2%*	*+33.3%*	*+45.0%*	*+14.5%*	*+19.9%*	*+9.6%*	*+7.3%*
Street (VA)			*2,648.0*	*367.2*	*324.1*	*1,051.0*	*1,330.8*	*2,279.3*	*528.0*	*577.2*	*859.8*	*1,246.8*	*3,227.8*	*3,938.3*	*4,664.1*	*5,815.3*	*6,658.2*
vs. Street			*+0.0%*	*-53.8%*	*+22.6%*	*-44.5%*	*-23.2%*	*-4.7%*	*-37.6%*	*+19.1%*	*-10.2%*	*+9.3%*	*-2.4%*	*-8.4%*	*-7.3%*	*-18.5%*	*-23.6%*
Guidance - 2Q24			***+35%***	-	-	-	-	***+37.5%***	-	-	-	-					
Guidance - 3Q24			***+24%***					***+50%***	-	-	-	-					
JEFe vs. guidance			***+20.5% vs +24.0%***					***s vs +50.0%***	-	-	-	-					
Services revs, mm	**11.3**	**15.6**	**45.4**	**15.7**	**32.9**	**16.9**	**19.0**	**84.4**	**17.2**	**18.8**	**21.8**	**26.0**	**83.8**	**123.3**	**172.8**	**226.4**	**275.1**
Y/Y chg, %	*+110.4%*	*+38.1%*	*+191.3%*	*+172.6%*	*+307.7%*	*+77.4%*	*-13.8%*	*+86.2%*	*+10.0%*	*-42.8%*	*+28.6%*	*+37.2%*	*-0.7%*	*+47.1%*	*+40.2%*	*+31.0%*	*+21.5%*
Street (VA)			*44.9*	*15.7*	*15.3*	*17.4*	*24.0*	*82.9*	-	-	-	-	*105.8*	*146.3*	*226.3*	*222.1*	*267.9*
vs. Street			*+1.0%*	*-0.5%*	*+114.4%*	*-2.6%*	*-21.0%*	*+1.9%*					*-20.8%*	*-15.8%*	*-23.6%*	*+2.0%*	*+2.7%*
Digital revs, mm	**6.3**	**4.6**	**5.2**	**1.4**	**1.4**	**1.8**	**1.5**	**6.0**	**1.6**	**1.6**	**2.1**	**1.7**	**6.9**	**7.6**	**8.4**	**9.2**	**10.2**
Y/Y chg, %	*+483.7%*	*-27.5%*	*+13.2%*	*+8.0%*	*+4.5%*	*+48.6%*	*+6.3%*	*+16.1%*	*+15.0%*	*+15.0%*	*+15.0%*	*+15.0%*	*+15.0%*	*+10.0%*	*+10.0%*	*+10.0%*	*+10.0%*
Street (VA)			*5.8*	*2.6*	*2.0*	*2.3*	*3.0*	*10.1*	-	-	-	-	*16.8*	*24.3*	*45.7*	*101.8*	*136.1*
Revenue	552.3	1,568.0	1,601.6	116.2	264.4	566.9	757.7	1,705.2	-	-	-	-	-	-	-	-	-
Y/Y chg, %	*-7.0%*	*+183.9%*	*+2.1%*														
Revenue from related parties	646.3	650.0	1,097.0	70.6	167.2	35.6	284.2	557.6	-	-	-	-	-	-	-	-	-
Y/Y chg, %	*+645.4%*	*+0.6%*	*+68.8%*														
Total Revenue	**1,198.6**	**2,218.0**	**2,698.6**	**186.8**	**431.6**	**602.5**	**1,041.9**	**2,262.8**	**348.3**	**707.6**	**795.8**	**1,389.8**	**3,241.6**	**3,737.3**	**4,506.4**	**4,977.0**	**5,373.0**
Y/Y chg, %	*+76.1%*	*+85.0%*	*+21.7%*	*-48.7%*	*-30.7%*	*+24.7%*	*-15.2%*	*-16.1%*	*+86.5%*	*+63.9%*	*+32.1%*	*+33.4%*	*+43.3%*	*+15.3%*	*+20.6%*	*+10.4%*	*+8.0%*
Seasonality	*+100.0%*	*+100.0%*	*+100.0%*	*+8.3%*	*+19.1%*	*+26.6%*	*+46.0%*	*+100.0%*	*+10.7%*	*+21.8%*	*+24.6%*	*+42.9%*	*+100.0%*	*+100.0%*	*+100.0%*	*+100.0%*	*+100.0%*
BNEF GWh growth - US utility scale BESS	***73.6%***	***80.0%***	***70.2%***	*--*	*--*	*--*	*--*	***49.2%***	*--*	*--*	*--*	*--*	***39.6%***	***27.0%***	***30.5%***	***27.0%***	***20.4%***
BNEF GWh growth - Global utility scale BESS	***68.5%***	***115.7%***	***109.4%***	*--*	*--*	*--*	*--*	***73.3%***	*--*	*--*	*--*	*--*	***58.3%***	***43.3%***	***34.1%***	***28.0%***	***24.9%***
Street (VA)			*2,698.6*	*186.8*	*343.5*	*1,071.0*	*1,364.2*	*2,262.8*	*552.7*	*603.4*	*887.4*	*1,276.6*	*3,338.0*	*4,102.8*	*4,920.9*	*6,088.3*	*6,994.2*
vs. Street			*0.0%*	*0.0%*	*+25.7%*	*-43.7%*	*-23.6%*	*0.0%*	*-37.0%*	*+17.3%*	*-10.3%*	*+8.9%*	*-2.9%*	*-8.9%*	*-8.4%*	*-18.3%*	*-23.2%*
Guidance - 1QPY	-		*3,000.00*	-	-	-	-	*4,125.00*	-	-	-	-					
Guidance - 2QPY		>	2,700.00	-	-	-	-		-	-	-	-					
Guidance - 3QPY			2,750.00	-	-	-	-	4,125.00	-	-	-	-					
Guidance - 4QPY								$3.6-4.4bn					***$3.2 - $3.6Bn***				
Guidance - 1QCY								$3.1-3.7bn				~$4.4bn; 30% y/y					
Guidance - 2QCY								**$2.6-2.8bn**									
JEFe prior	**1,198.6**	**2,218.0**	**2,698.6**	**186.8**	**431.6**	**602.5**	**1,393.2**	**2,614.1**	**237.6**	**552.3**	**700.2**	**1,568.3**	**3,058.4**	**3,468.0**	**4,067.6**	**4,558.9**	**NA**
JEF New vs. JEF prior $	*0.0*	*(0.0)*	*0.0*	*(0.0)*	*(0.0)*	*0.0*	*(351.3)*	*(351.3)*	*110.7*	*155.4*	*95.7*	*(178.5)*	*183.2*	*269.4*	*438.8*	*418.1*	*-*
JEF New vs. JEF prior % change	*+0.0%*	*-0.0%*	*+0.0%*	*-0.0%*	*-0.0%*	*+0.0%*	*-25.2%*	*-13.4%*	*+46.6%*	*+28.1%*	*+13.7%*	*-11.4%*	*+6.0%*	*+7.8%*	*+10.8%*	*+9.2%*	*-*
Gross profit - non-GAAP	**(53.8)**	**146.9**	**347.9**	**23.4**	**44.9**	**92.8**	**148.5**	**309.5**	**45.0**	**84.3**	**94.6**	**160.6**	**384.5**	**467.3**	**590.1**	**671.5**	**744.5**
Y/Y chg, %	*-458.7%*	*-372.9%*	*136.8%*	*-38.6%*	*-31.9%*	*9.6%*	*-6.8%*	*-11.0%*	*92.6%*	*87.7%*	*2.0%*	*8.2%*	*24.2%*	*21.6%*	*26.3%*	*13.8%*	*10.9%*
Margin, %	*-4.5%*	*6.6%*	*12.9%*	*12.5%*	*10.4%*	*15.4%*	*14.3%*	*13.7%*	*12.9%*	*11.9%*	*11.9%*	*11.6%*	*11.9%*	*12.5%*	*13.1%*	*13.5%*	*13.9%*
Street (VA)			*347.8*	*46.1*	*37.1*	*101.2*	*141.7*	*309.5*	*55.4*	-	-	-	*394.0*	*514.5*	*632.7*	*802.5*	*965.6*
vs. Street			*+0.0%*	*-49.3%*	*+21.1%*	*-8.3%*	*+4.8%*	*-0.0%*	*-18.8%*	*#DIV/0!*	*#DIV/0!*	*#DIV/0!*	*-2.4%*	*-9.2%*	*-6.7%*	*-16.3%*	*-22.9%*
Street margin			*12.9%*	*24.7%*	*10.8%*	*9.4%*	*10.4%*	*13.7%*	*10.0%*	*0.0%*	*0.0%*	*0.0%*	*11.8%*	*12.5%*	*12.9%*	*13.2%*	*13.8%*
Guidance - 2QPY			*11.0%*	-	-	-	-	*12.5%*	-	-	-	-					
Guidance - 3QPY			*11.5%*	-	-	-	-	*10-12%*	-	-	-	-					
Guidance - 4QPY													***11-13%***				
Guidance - 2QCY							*reiterated -->*	10-12%									
EBITDA - non-GAAP	**(184.2)**	**(61.2)**	**77.9**	**(49.7)**	**(30.4)**	**27.4**	**72.2**	**19.5**	**(41.7)**	**(6.4)**	**17.0**	**85.1**	**54.0**	**113.0**	**204.1**	**264.1**	**314.2**
Rolling CAGR - '24 as base								**(75%)**					**(17%)**	**13%**	**27%**	**28%**	**26%**
Margin, %	*-15.4%*	*-2.8%*	*2.9%*	*-26.6%*	*-7.0%*	*4.5%*	*6.9%*	*0.9%*	*-12.0%*	*-0.9%*	*2.1%*	*6.1%*	*1.7%*	*3.0%*	*4.5%*	*5.3%*	*5.8%*
Street (VA)			*78.0*	*-49.3*	*-31.8*	*32.3*	*72.9*	*19.5*	*-20.6*	*-16.4*	*17.9*	*66.9*	*49.1*	*143.9*	*237.4*	*352.6*	*476.6*
vs. Street			*-0.0%*	*+0.8%*	*-4.4%*	*-15.4%*	*-0.9%*	*+0.0%*	*+102.6%*	*-60.9%*	*-5.1%*	*+27.3%*	*+9.9%*	*-21.5%*	*-14.0%*	*-25.1%*	*-34.1%*
Street margin			*2.9%*	*-26.4%*	*-9.3%*	*3.0%*	*5.3%*	*0.9%*	*-3.7%*	*-2.7%*	*2.0%*	*5.2%*	*1.5%*	*3.5%*	*4.8%*	*5.8%*	*6.8%*
Guidance - 11.28.2023			65			<- Implies 2.2% EBITDA margin '24											
Guidance - 8.7.2023			60			<- Implies 2.2% EBITDA margin '24											
Guidance - 4QPY								$160-200mm					***$40-60Mn***				
Guidance - 1QCY								$70-100mm									
Guidance - 2QCY								**$0-20mm**									
JEFe prior	**(184.2)**	**(61.2)**	**77.9**	**(49.7)**	**(30.4)**	**27.4**	**59.0**	**6.3**	**(35.2)**	**(12.8)**	**5.5**	**92.7**	**50.2**	**94.8**	**154.4**	**206.7**	**NA**
JEF New vs. JEF prior $	*0.0*	*0.0*	*(0.0)*	*0.0*	*(0.0)*	*(0.0)*	*13.2*	*13.2*	*(6.5)*	*6.4*	*11.4*	*(7.6)*	*3.8*	*18.2*	*49.7*	*57.4*	*-*
JEF New vs. JEF prior % change	*-0.0%*	*-0.0%*	*-0.0%*	*-0.0%*	*+0.0%*	*-0.0%*	*+22.4%*	*+211.3%*	*+18.4%*	*-50.1%*	*+206.5%*	*-8.2%*	*+7.6%*	*+19.2%*	*+32.2%*	*+27.8%*	*-*
Free Cash Flow (FCF)	**(290.3)**	**(114.9)**	**71.6**	**(213.3)**	**(50.5)**	**(157.4)**	**260.9**	**(160.4)**	**(149.0)**	**(76.6)**	**32.5**	**110.1**	**(83.0)**	**21.5**	**92.9**	**142.9**	**188.0**
Margin, %	*-24.2%*	*-5.2%*	*2.7%*	*-114.2%*	*-11.7%*	*-26.1%*	*25.0%*	*-7.1%*	*-42.8%*	*-10.8%*	*4.1%*	*7.9%*	*-2.6%*	*0.6%*	*2.1%*	*2.9%*	*3.5%*
Rolling CAGR - '24 as base								**(324%)**					**--**	**(33%)**	**7%**	**15%**	**17%**
Street (VA)			*60.7*	*-215.9*	*62.3*	*-80.7*	*35.3*	*-170.4*	-	-	-	-	*-62.1*	*35.7*	*99.4*	*163.9*	*222.0*
vs. Street			*+17.8%*	*-1.2%*	*-181.1%*	*+95.0%*	*+640.0%*	*-5.8%*	*#DIV/0!*	*#DIV/0!*	*#DIV/0!*	*#DIV/0!*	*+33.7%*	*-39.9%*	*-6.6%*	*-12.8%*	*-15.3%*
JEFe prior	**(290.32)**	**(114.92)**	**71.57**	**(213.34)**	**(50.54)**	**(157.43)**	**(64.86)**	**(486.16)**	**(226.84)**	**(9.12)**	**81.51**	**144.49**	**(9.97)**	**25.39**	**67.24**	**102.12**	**NA**
JEF New vs. JEF prior $	*0.0*	*0.0*	*0.0*	*(0.0)*	*0.0*	*0.0*	*325.7*	*325.7*	*77.8*	*(67.5)*	*(49.0)*	*(34.4)*	*(73.0)*	*(3.9)*	*25.7*	*40.8*	*-*
JEF New vs. JEF prior % change	*-0.0%*	*-0.0%*	*0.0%*	*+0.0%*	*-0.0%*	*-0.0%*	*-502.2%*	*-67.0%*	*-34.3%*	*+740.0%*	*-60.2%*	*-23.8%*	*+732.6%*	*-15.5%*	*+38.2%*	*+40.0%*	*-*
Guidance - 4QPY													***>$0 in FY26 / FY27 ?***				
EPS - Diluted, non-GAAP	**-$2.69**	**-$0.69**	**$0.17**	**-$0.31**	**-$0.32**	**$0.04**	**$0.13**	**-$0.40**	**-$0.34**	**-$0.17**	**-$0.06**	**$0.29**	**-$0.28**	**$0.12**	**$0.56**	**$0.83**	**$1.04**
Rolling CAGR - '24 as base								**(339%)**					**--**	**(12%)**	**35%**	**38%**	**36%**
Street (VA)			*$0.28*	*-$0.28*	*-$0.19*	*$0.07*	*$0.15*	*-$0.24*	*-$0.22*	*-$0.15*	*$0.09*	*$0.25*	*-$0.03*	*$0.58*	*$0.97*	*$1.29*	*$1.71*
vs. Street			*-40.8%*	*+13.4%*	*+73.4%*	*-48.0%*	*-11.3%*	*+70.1%*	*+52.9%*	*+15.8%*	*-163.9%*	*+15.9%*	*+936.3%*	*-80.3%*	*-42.6%*	*-35.7%*	*-39.1%*
JEFe prior	**(2.69)**	**(0.69)**	**0.17**	**(0.31)**	**(0.32)**	**0.04**	**0.20**	**(0.32)**	**(0.25)**	**(0.14)**	**(0.06)**	**0.37**	**(0.08)**	**0.21**	**0.49**	**0.71**	**NA**
JEF New vs. JEF prior $	*(0.0)*	*0.0*	*(0.0)*	*(0.0)*	*(0.0)*	*(0.0)*	*(0.1)*	*(0.1)*	*(0.1)*	*(0.0)*	*0.0*	*(0.1)*	*(0.2)*	*(0.1)*	*0.1*	*0.1*	*-*
JEF New vs. JEF prior % change	*+0.2%*	*-0.1%*	*-1.6%*	*+1.4%*	*+0.8%*	*-6.2%*	*-34.9%*	*+25.0%*	*+36.8%*	*+20.8%*	*-1.1%*	*-22.7%*	*+253.1%*	*-45.1%*	*+13.4%*	*+16.3%*	*-*

Source: JEF Research, Company documents and filings, Visible Alpha

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Valuation - PT to $16

We raise our price target to $16 from $11 previously, with the revision driven by our updated forecasts and a mark-to-market on peer multiples/discount rate. While we continue to see clear risks related to execution and outstanding AESC/FEOC compliance, we give credit in our forecast for an improving macro backdrop that we think will benefit all US BESS suppliers. We maintain an equal-weighted valuation methodology, blending FCF yield, EV/EBITDA and discounted cash flow analysis.

Exhibit 12 - Valuation summary - equal weighted methodologies
In $USMn, except per share data

FLNC valuation *(mm's, except for customer figures)*	JEFe	Weight	Value / Share
3.2% 2028 FCF yield	92.9	33%	$16.00
13.8x 2028 EBITDA	204.1	33%	$16.00
8-yr DCF by FCFE		33%	$15.00
Price target - FLNC (JEF)			$16.00
Current share price			$16.77
Upside / (downside) to PT			-4.6%

Source: JEF Research, Factset

Our peer multiples and discount rate reflect the following updates:

- **FY28E FCF yield** - peer median of **4.5%** (5.0% prev.), with **+30% premium** applied (+20% prior) given improving FCF post 2026 driven by recovery in US and cash position on B/Sheet, up to nearly $700Mn at FY25 year-end vs. <$450Mn in F3Q
- **FY28E EV/EBITDA** - peer median of **10.6x** (10.9x prior), with **+30% premium** applied (20% prior) for same reasons stated above
- Discount rate used in DCF of 11.6% (unchanged) based on a peer median beta of 1.30x (1.39x prior). **Our adjusted discount rate includes a 2pp premium to our base discount rate** (9.6%) to account for execution risk. Our premium was 1.5pp prior, but due to lower peer beta, we raise the premium slightly higher to maintain similar level of discount rate. However, we credit the company with a higher terminal growth rate of 3% vs. 2.5% prior to capture the improved opportunity set for FLNC. With the close of FY25, we roll forward our forecast one year to now discount back to F4Q26.

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Exhibit 13 - Equal weighting (33%) across FCF Yield, EV/EBITDA and DCF valuation analyses
In $USMn, except per share data

FCF Valuation	
2028 FCF (JEFe)	92.9
U.S. Vendors (Cleantech+Electrical)) - Median 2028 FCF Yield	4.5%
FLNC (premium) / discount	-30.0%
Target multiple	3.2%
Equity value, implied by 2028 FCF yield	2,917.7
'Shares outstanding, 4QFY-2026	186.2
Value / Share, implied by Equity Value / 2028 FCF	**$16.00**

EV/EBITDA Valuation	
2028 EBITDA (JEFe)	204.1
U.S. Vendors (Cleantech+Electrical)) - Median 2028 EV / EBITDA	10.6x
FLNC premium - higher chance of US supply chain, greater topline	+30.0%
Target multiple	13.8x
Enterprise value, implied by EV / 2028 Adj. EBITDA	2,809.6
(-) Debt, 4QFY-2026	(390.8)
(+) Cash, 4QFY-2026	531.6
Net cash / (net debt), 4QFY-2026	140.8
Equity value, implied by EV / 2028 EBITDAs	2,950.5
'Shares outstanding, 4QFY-2026	186.2
Value / Share, implied by 2028 EBITDAs	**$16.00**

Source: JEF Research, Company documents and Filings, Factset

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Exhibit 14 - DCF Summary (33% weighting)
In $USMn, except per share data
FLNC DCF Valuation

	FY-2027	FY-2028	FY-2029	FY-2030	FY-2031	FY-2032	FY-2033	FY-2034	FY-2035
Free Cash Flow (FCF)	21.5	92.9	142.9	188.0	221.2	253.4	287.7	312.2	342.9
(-) Stock-Based Compensation	(20.7)	(21.3)	(22.0)	(22.7)	(23.4)	(24.2)	(25.0)	(25.8)	(26.6)
Adjusted Free Cash Flow (aFCF)	0.8	71.6	120.9	165.3	197.7	229.2	262.7	286.5	316.3
Incremental Borrowings / Paydowns	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow to Equity (FCFe)	0.8	71.6	133.0	181.8	217.5	252.1	289.0	315.1	347.9
Ke - Cost of Equity	11.6%	11.6%	11.6%	11.6%	11.6%	11.6%	11.6%	11.6%	
Discount factor	1.00	0.90	0.80	0.72	0.64	0.58	0.52	0.46	
Discounted FCFE	0.8	64.1	106.8	130.8	140.1	145.5	149.5	146.0	

PV of 8-yr fwd cashflows, mm	**883.6**		
		Cost of Equity	**Hardcode**
Terminal value			
Adjusted Free Cash Flow, Yr+8 (aFCF)	316.3	Risk-free Rate	3.6%
Terminal growth rate	3.0% ***2.5% prior***	Country Risk Premium	4.6%
Terminal value	3,671.5	*2-yr Betas*	
Discount factor	0.46	SHLS	0.56x
PV of terminal value, mm	**1,701.3**	PLUG	1.49x
		ENPH	0.88x
(-) Debt, 4QFY-2026	(390.8)	SEDG	1.25x
(+) Cash, 4QFY-2026	531.6	FSLR	1.00x
Current net cash / (net debt)	**140.8**	NXT	1.45x
		ARRY	1.30x
		ENVX	2.46x
Equity value, implied, mm	**2,725.8**	BE	2.03x
		Peer median	1.30x
Diluted shares, 4QFY-2026	186.2		
Value / share per DCF	**$15.00**	Premium/discount	2.0%
		FLNC Cost of Equity	11.6%

Source: JEF Research, FactSet, Company Filings

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Exhibit 15 - Summary financial statements - FLNC

In $USMn, except per share data

Income Statement	FY-2022	FY-2023	FY-2024	1QFY-2025	2QFY-2025	3QFY-2025	4QFY-2025	FY-2025	FY-2026	FY-2027	FY-2028	FY-2029	FY-2030
Total Revenue	**1,198.6**	**2,218.0**	**2,698.6**	**186.8**	**431.6**	**602.5**	**1,041.9**	**2,262.8**	**3,241.6**	**3,737.3**	**4,506.4**	**4,977.0**	**5,373.0**
(-) Cost of revenue	(1,261.0)	(2,077.0)	(2,357.5)	(165.6)	(389.0)	(513.4)	(899.0)	(1,967.0)	(2,863.3)	(3,276.8)	(3,923.9)	(4,313.7)	(4,637.2)
Gross profit - GAAP	**(62.4)**	**141.0**	**341.1**	**21.2**	**42.6**	**89.1**	**142.9**	**295.8**	**378.4**	**460.6**	**582.5**	**663.3**	**735.8**
(+) SBC	8.5	4.2	4.1	0.9	0.6	0.6	0.4	2.6	4.1	4.8	5.7	6.2	6.7
(+) Intangible amort.	0.0	0.8	2.7	1.3	1.4	2.7	4.5	9.9	2.0	2.0	2.0	2.0	2.0
(+) Other	0.0	0.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(+) Non-recurring	0.0	0.0	0.0	0.0	0.3	0.3	0.6	1.2	0.0	0.0	0.0	0.0	0.0
Gross profit - non-GAAP	**(53.8)**	**146.9**	**347.9**	**23.4**	**44.9**	**92.8**	**148.5**	**309.5**	**384.5**	**467.3**	**590.1**	**671.5**	**744.5**
(-) R&D	(60.1)	(66.3)	(66.2)	(17.2)	(22.1)	(26.0)	(20.9)	(86.2)	(107.5)	(119.8)	(132.0)	(138.9)	(145.9)
(-) S&M	(37.2)	(41.1)	(63.8)	(18.2)	(21.2)	(19.8)	(20.3)	(79.5)	(102.0)	(118.7)	(133.0)	(144.5)	(155.2)
(-) G&A	(116.7)	(136.3)	(173.0)	(36.7)	(41.4)	(35.6)	(49.3)	(163.1)	(167.6)	(162.5)	(167.3)	(170.5)	(175.9)
(-) D&A	(7.1)	(9.8)	(11.4)	(2.8)	(2.9)	(3.6)	(4.0)	(13.3)	(47.3)	(21.6)	(17.6)	(17.6)	(18.4)
Operating income - GAAP	**(283.5)**	**(112.6)**	**26.6**	**(53.7)**	**(45.1)**	**4.0**	**48.4**	**(46.3)**	**(46.1)**	**38.0**	**132.5**	**191.8**	**240.5**
(-) Interest expense, net	0.3	5.4	5.7	0.7	(0.4)	(1.1)	(3.4)	(4.1)	(13.5)	(13.5)	(13.5)	(13.5)	(13.5)
(-) Other income (expense), net	(4.6)	7.0	7.7	(5.8)	1.5	8.5	1.1	5.4	0.0	0.0	0.0	0.0	0.0
Pre-tax income	**(287.8)**	**(100.3)**	**40.0**	**(58.7)**	**(43.9)**	**11.5**	**46.1**	**(45.1)**	**(59.6)**	**24.5**	**119.0**	**178.2**	**227.0**
(-) Taxes	(1.4)	(4.5)	(9.2)	1.7	2.0	(4.6)	(22.0)	(22.9)	7.2	(2.9)	(14.3)	(21.4)	(27.2)
Net income - GAAP	**(289.2)**	**(104.8)**	**30.8**	**(57.0)**	**(41.9)**	**6.9**	**24.1**	**(68.0)**	**(52.5)**	**21.6**	**104.7**	**156.9**	**199.7**
(+) Amortization of intangible	4.6	2.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(+) Stock based compensation	44.1	15.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(+) Non-recurring (income) expenses(a)	52.7	5.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net income - non-GAAP	**(187.8)**	**(80.3)**	**30.8**	**(57.0)**	**(41.9)**	**6.9**	**24.1**	**(68.0)**	**(52.5)**	**21.6**	**104.7**	**156.9**	**199.7**
(-) NCI	184.7	35.2	(7.1)	15.5	10.9	(0.6)	(6.1)	19.7	0.0	0.0	0.0	0.0	0.0
Net income attributable to shareholders	**(104.5)**	**(69.7)**	**23.7**	**(41.5)**	**(31.0)**	**6.3**	**17.9**	**(48.3)**	**(52.5)**	**21.6**	**104.7**	**156.9**	**199.7**
(+) Interest expense, net	(0.3)	(5.4)	(5.7)	(0.7)	0.4	1.1	3.4	4.1	13.5	13.5	13.5	13.5	13.5
(+) Provision for income taxes	1.4	4.6	9.2	(1.7)	(2.0)	4.6	22.0	22.9	(7.2)	2.9	14.3	21.4	27.2
(+) Depreciation expense	7.1	10.7	13.9	4.5	6.2	8.3	10.4	29.3	47.3	21.6	17.6	17.6	18.4
(+) SBC	44.1	26.9	23.9	5.3	3.8	6.4	4.1	19.7	20.1	20.7	21.3	22.0	22.7
(+) Other charges	52.7	6.7	5.9	0.0	3.1	0.1	8.2	11.4	32.7	32.7	32.7	32.7	32.7
(+) Legal costs & other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(+) Other tax related income, net	52.7	6.7	2.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(+) Non-recurring expenses	0.0	0.0	0.0	0.0	3.1	0.1	8.2	11.4	32.7	32.7	32.7	32.7	32.7
EBITDA - non-GAAP	**(184.2)**	**(61.2)**	**77.9**	**(49.7)**	**(30.4)**	**27.4**	**72.2**	**19.5**	**54.0**	**113.0**	**204.1**	**264.1**	**314.2**
Shares - Basic	69.7	116.4	126.2	129.5	130.0	130.7	131.0	130.3	131.9	133.2	134.6	136.1	137.6
Shares - Diluted	69.7	116.4	184.0	181.4	130.0	183.6	184.8	170.0	185.7	187.0	188.4	189.9	191.4
EPS - Basic, GAAP	**-$1.50**	**-$0.60**	**$0.19**	**($0.32)**	**($0.24)**	**$0.05**	**$0.14**	**-$0.37**	**-$0.40**	**$0.16**	**$0.78**	**$1.15**	**$1.45**
EPS - Diluted, GAAP	**-$1.50**	**-$0.60**	**$0.13**	**($0.23)**	**($0.24)**	**$0.03**	**$0.10**	**-$0.28**	**-$0.28**	**$0.12**	**$0.56**	**$0.83**	**$1.04**
EPS - Diluted, non-GAAP	**-$2.69**	**-$0.69**	**$0.17**	**($0.31)**	**($0.32)**	**$0.04**	**$0.13**	**-$0.40**	**-$0.28**	**$0.12**	**$0.56**	**$0.83**	**$1.04**

Source: JEF Research, Company documents and filings

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Company Description

Fluence

Fluence Energy, Inc. provides energy storage technology solutions. The Company delivers energy storage product, service, and digital application packages, as well as artificial intelligence-enabled IQ platform to optimize renewable and third-party storage assets. Fluence Energy serves clients worldwide.

Company Valuation/Risks

Fluence

We value Fluence using a blended methodology assigning equal weights to yields on free cash flow, earnings, EBITDA, and an analysis of discounted cashflows. Risks include product quality, tariffs, Siemens and AES ownership, industry concentration risk, and ongoing price deflation.

AES Corp

Our valuation is based on a sum-of-the-parts approach using P/E, EV/ EBITDA, and discount cash flows for different business segments. Risks include 1) regulatory, state/Federal administrative, legislative, judicial, tax, environmental, and political actions; 2) prudence of investments; 3) ability to earn the target return on capital investments; 4) capital markets, equity, & rating agency requirements and access; 5) changes to the capital expenditure forecasts; 6) volatility in interest rates and asset returns; 7) changes in commodity prices; 8) natural disasters, wildfires, weather, nuclear events, & tariffs, public health crises; 9) military actions and terrorism; 10) construction of capital projects; 11) changes in electric and natural gas volumes; 12) labor agreements and turnover of key executives; 13) cyber incidents; 14) supply chain disruptions; 15) merger and acquisition activity; 16) counterparty performance; and 17) access to insurance.

DTE Energy Co

We value DTE using a 2028 sum-of-the-parts methodology. Risks to achievement of the price target and rating include: 1) regulatory, state/Federal administrative, legislative, judicial, tax, environmental, and political actions; 2) prudency of regulatory actions & investments; 3) ability to earn the target regulatory authorized return on equity; 4) capital markets, equity, & rating agency requirements and access; 5) changes to the capital expenditure forecasts; 6) volatility in interest rates and pension returns; 7) changes in commodity prices; 8) nuclear events, natural disasters, wildfires, weather, & public health crises; 9) military actions and terrorism; 10) construction of capital projects; 11) changes in electric volumes; 12) labor agreements and turnover of key executives; 13) cyber incidents; 14) supply chain disruptions; 15) merger and acquisition activity, 16) counterparty performance, and 17) access to insurance.

Siemens AG

Valuation: We value Siemens on our SOTP analysis.

Risks include delay in management's strategy by focussing the business more on its industrial core; short-cycle trends, particularly in automotive and machine tooling; postponement to Siemens' new cost savings program due to, for example, union involvement; and a large-scale M&A deal at a high valuation multiple dragging down ROIC further.

Analyst Certification:

I, Julien Dumoulin-Smith, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Paul Zimbardo, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Dushyant Ailani, CFA, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Hannah Velasquez, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

I, Luke Fenker, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.
I, Qudrat Qureshi, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.
As is the case with all Jefferies employees, the analyst(s) responsible for the coverage of the financial instruments discussed in this report receives compensation based in part on the overall performance of the firm, including investment banking income. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Aside from certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgement.

Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	November 26, 2025 8:05 A.M.
Recommendation Distributed	November 26, 2025 8:05 A.M.

Explanation of Jefferies Ratings

Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.
Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.
Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.
The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below $10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.
NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Jefferies policies.
CS - Coverage Suspended. Jefferies has suspended coverage of this company.
NC - Not covered. Jefferies does not cover this company.
Restricted - Describes issuers where, in conjunction with Jefferies engagement in certain transactions, company policy or applicable securities regulations prohibit certain types of communications, including investment recommendations.
Monitor - Describes securities whose company fundamentals and financials are being monitored, and for which no financial projections or opinions on the investment merits of the company are provided.

Valuation Methodology

Jefferies' methodology for assigning ratings may include the following: market capitalization, maturity, growth/value, volatility and expected total return over the next 12 months. The price targets are based on several methodologies, which may include, but are not restricted to, analyses of market risk, growth rate, revenue stream, discounted cash flow (DCF), EBITDA, EPS, cash flow (CF), free cash flow (FCF), EV/EBITDA, P/E, PE/growth, P/CF, P/FCF, premium (discount)/average group EV/EBITDA, premium (discount)/average group P/E, sum of the parts, net asset value, dividend returns, and return on equity (ROE) over the next 12 months.

Jefferies Franchise Picks

Jefferies Franchise Picks include stock selections from among the best stock ideas from our equity analysts over a 12 month period. Stock selection is based on fundamental analysis and may take into account other factors such as analyst conviction, differentiated analysis, a favorable risk/reward ratio and investment themes that Jefferies analysts are recommending. Jefferies Franchise Picks will include only Buy rated stocks and the number can vary depending on analyst recommendations for inclusion. Stocks will be added as new opportunities arise and removed when the reason for inclusion changes, the stock has met its desired return, if it is no longer rated Buy and/or if it triggers a stop loss. Stocks having 120 day volatility in the bottom quartile of S&P stocks will continue to have a 15% stop loss, and the remainder will have a 20% stop. Franchise Picks are not intended to represent a recommended portfolio of stocks and is not sector based, but we may note where we believe a Pick falls within an investment style such as growth or value.

Risks which may impede the achievement of our Price Target

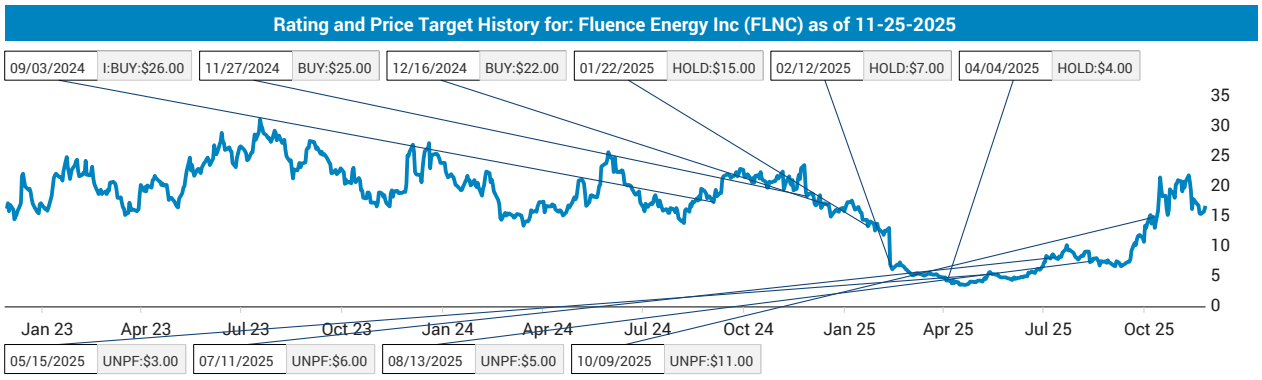
This report was prepared for general circulation and does not provide investment recommendations specific to individual investors. As such, the financial instruments discussed in this report may not be suitable for all investors and investors must make their own investment decisions based upon their specific investment objectives and financial situation utilizing their own financial advisors as they deem necessary. Past performance of the financial instruments recommended in this report should not be taken as an indication or guarantee of future results. The price, value of, and income from, any of the financial instruments mentioned in this report can rise as well as fall and may be affected by changes in economic, financial and political factors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. To the extent prices are shown in non-US currency, please note that our local currency price targets are

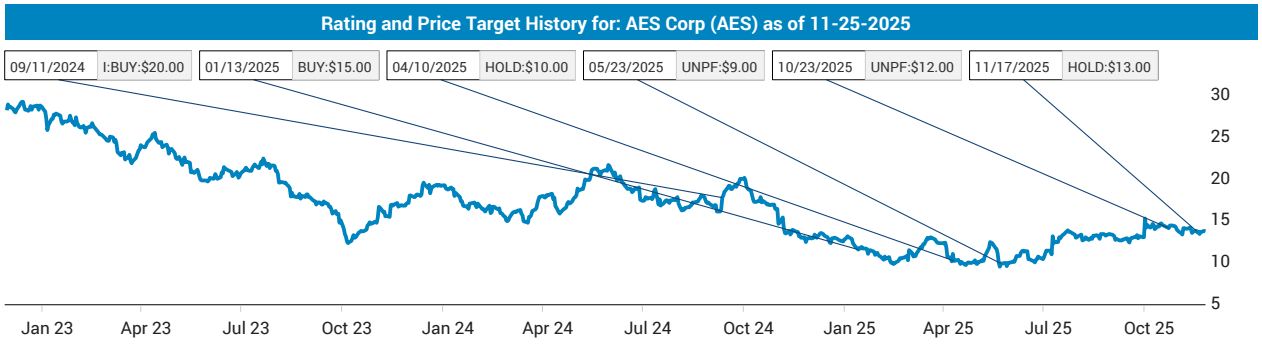
This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

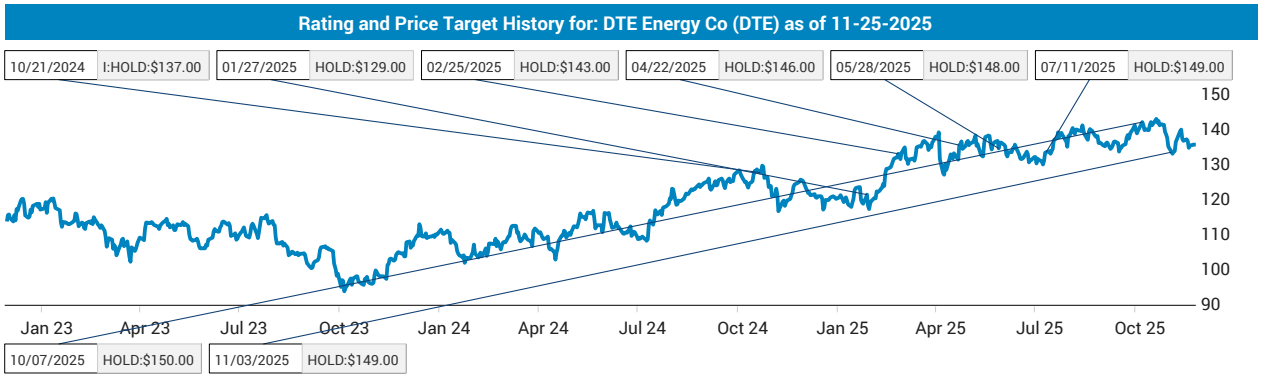
based on a currency conversion using an exchange rate as of the prior trading day (unless otherwise noted). Should there be fluctuations in the exchange rate after this date, that will affect the non-US target prices and should no longer be relied upon. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

Other Companies Mentioned in This Report

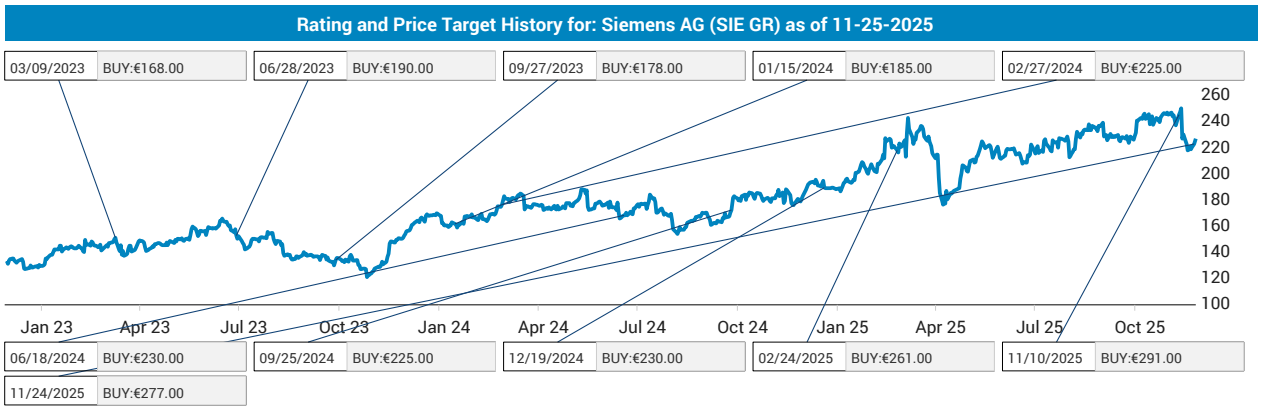
- AES Corp (AES: $13.81, HOLD)
- DTE Energy Co (DTE: $136.07, HOLD)
- Fluence Energy Inc (FLNC: $16.77, HOLD)
- Siemens AG (SIE GR: €227.00, BUY)







This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.
Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2154	61.09%	388	18.01%	124	5.76%
HOLD	1216	34.49%	108	8.88%	18	1.48%
UNDERPERFORM	156	4.42%	1	0.64%	1	0.64%

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

Other important disclosures

Other Important Disclosures

Jefferies does business and seeks to do business with companies covered in its research reports, and expects to receive or intends to seek compensation for investment banking services among other activities from such companies. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Jefferies Equity Research refers to research reports produced by analysts employed by one of the following Jefferies Financial Group Inc. ("Jefferies") companies:

United States: Jefferies LLC which is an SEC registered broker-dealer and a member of FINRA (and distributed by Jefferies Research Services, LLC, an SEC registered Investment Adviser, to clients paying separately for such research).

Canada: Jefferies Securities Inc., which is an investment dealer registered in each of the thirteen Canadian jurisdictions and a dealer member of the Canadian Investment Regulatory Organization, including research reports produced jointly by Jefferies Securities Inc. and another Jefferies entity (and distributed by Jefferies Securities Inc.).

Where Jefferies Securities Inc. distributes research reports produced by Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch or Jefferies India Private Limited, you are advised that each of Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch and Jefferies India Private Limited operates as a dealer in your jurisdiction under an exemption from the dealer registration requirements contained in National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations and, as such, each of Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch and Jefferies India Private Limited is not required to be and is not a registered dealer or adviser in your jurisdiction. You are advised that where Jefferies LLC or Jefferies International Limited prepared this research report, it was not prepared in accordance with Canadian disclosure requirements relating to research reports in Canada.

United Kingdom: Jefferies International Limited, which is authorized and regulated by the Financial Conduct Authority; registered in England and Wales No. 1978621; registered office: 100 Bishopsgate, London EC2N 4JL; telephone +44 (0)20 7029 8000; facsimile +44 (0)20 7029 8010.

Germany: Jefferies GmbH, which is authorized and regulated by the Bundesanstalt fuer Finanzdienstleistungsaufsicht, BaFin-ID: 10150151; registered office: Bockenheimer Landstr. 24, 60323 Frankfurt a.M., Germany; telephone: +49 (0) 69 719 1870

Hong Kong: Jefferies Hong Kong Limited, which is licensed by the Securities and Futures Commission of Hong Kong with CE number ATS546; located at Level 26, Two International Finance Center, 8 Finance Street, Central, Hong Kong; telephone: +852 3743 8000.

Singapore: Jefferies Singapore Limited, which is licensed by the Monetary Authority of Singapore; located at 80 Raffles Place #15-20, UOB Plaza 2, Singapore 048624, telephone: +65 6551 3950.

Japan: Jefferies (Japan) Limited, Tokyo Branch, which is a securities company registered by the Financial Services Agency of Japan and is a member of the Japan Securities Dealers Association; located at Tokyo Midtown Hibiya 30F Hibiya Mitsui Tower, 1-1-2 Yurakucho, Chiyoda-ku, Tokyo 100-0006; telephone +813 5251 6100; facsimile +813 5251 6101.

India: Jefferies India Private Limited (CIN - U74140MH2007PTC200509), licensed by the Securities and Exchange Board of India for: Stock Broker (NSE & BSE) INZ000243033, Research Analyst INH000000701 and Merchant Banker INM000011443, located at Level 16, Express Towers, Nariman Point, Mumbai 400 021, India; Tel +91 22 4356 6000. Compliance Officer name: Sanjay Pai, Tel No: +91 22 42246150, Email: spai@jefferies.com, Grievance officer name: Sanjay Pai, Tel no. +91 22 42246150, Email: compliance_india@jefferies.com. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

Australia: Jefferies (Australia) Pty Limited (ACN 623 059 898), which holds an Australian financial services license (AFSL 504712) and is located at Level 20, 60 Martin Place, Sydney NSW 2000; telephone +61 2 9364 2800.

Dubai: Jefferies International Limited, Dubai branch, which is licensed by the Dubai Financial Services Authority (DFSA Reference Number F007325); registered office Unit L31-06, L31-07, Level 31, ICD Brookfield Pace, DIFC, PO Box 121208, Dubai, UAE.

This report was prepared by personnel who are associated with Jefferies (Jefferies Securities Inc., Jefferies International Limited, Jefferies GmbH, Jefferies Hong Kong Limited, Jefferies Singapore Limited, Jefferies (Japan) Limited, Tokyo Branch, Jefferies India Private Limited), and Jefferies (Australia) Pty Ltd; or by personnel who are associated with both Jefferies LLC and Jefferies Research Services LLC ("JRS"). Jefferies LLC is a US registered broker-dealer and is affiliated with JRS, which is a US registered investment adviser. JRS does not create tailored or personalized research and all research provided by JRS is impersonal. If you are paying separately for this research, it is being provided to you by JRS. Otherwise, it is being provided by Jefferies LLC. Jefferies LLC, JRS, and their affiliates are collectively referred to below as "Jefferies". Jefferies may seek to do business with companies covered in this research report. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only one of many factors in making their investment decisions. Specific conflict of interest and other disclosures that are required by FINRA, the Canadian Investment Regulatory Organization and other rules are set forth in this disclosure section.

* * *

If you are receiving this report from a non-US Jefferies entity, please note the following: Unless prohibited by the provisions of Regulation S of the U.S. Securities Act of 1933, as amended, this material is distributed in the United States by Jefferies LLC, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6 under the US Securities Exchange Act of 1934, as amended. Transactions by or on behalf of any US person may only be effected through Jefferies LLC. In the United Kingdom and European Economic Area this report is issued and/or approved for distribution by Jefferies International Limited ("JIL") and/or Jefferies GmbH and is intended for use only by persons who have, or have been assessed as having, suitable professional experience and expertise, or by persons to whom it can be otherwise lawfully distributed. Jefferies LLC, JIL, Jefferies GmbH and their affiliates, may make a market or provide liquidity in the financial instruments referred to in this report; and where they do make a market, such activity is disclosed specifically in this report under "company specific disclosures".

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

For Canadian investors, this material is intended for use only by professional or institutional investors. None of the investments or investment services mentioned or described herein is available to other persons or to anyone in Canada who is not a "permitted client" as defined by National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations, as applicable. This research report is a general discussion of the merits and risks of a security or securities only, and is not in any way meant to be tailored to the needs and circumstances of any recipient. The information contained herein is not, and under no circumstances is to be construed as, an offer to sell securities described herein, or solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators, if applicable, and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. The information contained herein is under no circumstances to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed judgment upon this research report, the information contained herein or the merits of the securities described herein, and any representation to the contrary is an offence.

In Singapore, Jefferies Singapore Limited ("JSL") is regulated by the Monetary Authority of Singapore. For investors in the Republic of Singapore, where this material is prepared and issued by a Jefferies affiliate outside of Singapore, it is distributed by JSL pursuant to Regulation 32C of the Financial Advisers Regulations. The material contained in this document is intended solely for accredited, expert or institutional investors, as defined under the Securities and Futures Act 2001 (Singapore). If there are any matters arising from, or in connection with this material, please contact JSL, located at 80 Raffles Place #15-20, UOB Plaza 2, Singapore 048624, telephone: +65 6551 3950. In Dubai, this material is issued and distributed by Jefferies International Limited, Dubai branch, and is intended solely for Professional Clients and should not be distributed to, or relied upon by, Retail Clients (as defined by DFSA). A distribution of ratings in percentage terms in each sector covered is available upon request from your sales representative. In Japan, this material is issued and distributed by Jefferies (Japan) Limited to institutional investors only. In Hong Kong, this report is issued and approved by Jefferies Hong Kong Limited and is intended for use only by professional investors as defined in the Hong Kong Securities and Futures Ordinance and its subsidiary legislation. In the Republic of China (Taiwan), this report should not be distributed. The research in relation to this report is conducted outside the People's Republic of China ("PRC"). This report does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. In India, this report is made available by Jefferies India Private Limited. In Australia, this report is issued and/or approved for distribution by, or on behalf of, Jefferies (Australia) Securities Pty Ltd (ACN 610 977 074), which holds an Australian financial services license (AFSL 487263). It is directed solely at wholesale clients within the meaning of the Corporations Act 2001 (Cth) of Australia (the "Corporations Act"), in connection with their consideration of any investment or investment service that is the subject of this report. This report may contain general financial product advice. Where this report refers to a particular financial product, you should obtain a copy of the relevant product disclosure statement or offer document before making any decision in relation to the product. Recipients of this document in any other jurisdictions should inform themselves about and observe any applicable legal requirements in relation to the receipt of this document.

This report is not an offer or solicitation of an offer to buy or sell any security or derivative instrument, or to make any investment. Any opinion or estimate constitutes the preparer's best judgment as of the date of preparation, and is subject to change without notice. Jefferies assumes no obligation to maintain or update this report based on subsequent information and events. Jefferies, and their respective officers, directors, and employees, may have long or short positions in, or may buy or sell any of the securities, derivative instruments or other investments mentioned or described herein, either as agent or as principal for their own account. This material is provided solely for informational purposes and is not tailored to any recipient, and is not based on, and does not take into account, the particular investment objectives, portfolio holdings, strategy, financial situation, or needs of any recipient. As such, any advice or recommendation in this report may not be suitable for a particular recipient. Jefferies assumes recipients of this report are capable of evaluating the information contained herein and of exercising independent judgment. A recipient of this report should not make any investment decision without first considering whether any advice or recommendation in this report is suitable for the recipient based on the recipient's particular circumstances and, if appropriate or otherwise needed, seeking professional advice, including tax advice. Jefferies does not perform any suitability or other analysis to check whether an investment decision made by the recipient based on this report is consistent with a recipient's investment objectives, portfolio holdings, strategy, financial situation, or needs.

By providing this report, neither JRS nor any other Jefferies entity accepts any authority, discretion, or control over the management of the recipient's assets. Any action taken by the recipient of this report, based on the information in the report, is at the recipient's sole judgment and risk. The recipient must perform his or her own independent review of any prospective investment. If the recipient uses the services of Jefferies LLC (or other affiliated broker-dealers), in connection with a purchase or sale of a security that is a subject of these materials, such broker-dealer may act as principal for its own accounts or as agent for another person. Only JRS is registered with the SEC as an investment adviser; and therefore neither Jefferies LLC nor any other Jefferies affiliate has any fiduciary duty in connection with distribution of these reports.

The price and value of the investments referred to herein and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

This report may contain forward looking statements that may be affected by inaccurate assumptions or by known or unknown risks, uncertainties, and other important factors. As a result, the actual results, events, performance or achievements of the financial product may be materially different from those expressed or implied in such statements.

This report has been prepared independently of any issuer of securities mentioned herein and not as agent of any issuer of securities. No Equity Research personnel have authority whatsoever to make any representations or warranty on behalf of the issuer(s). Any comments or statements made herein are those of the Jefferies entity producing this report and may differ from the views of other Jefferies entities.

This report is intended for Jefferies clients only. Unauthorized distribution is prohibited.

This report may contain information obtained from third parties, including ratings from credit ratings agencies such as Standard & Poor's, and information derived from third-party or proprietary generative artificial intelligence (Gen AI) models. Jefferies does not guarantee the accuracy, completeness, timeliness or availability of this information, and is not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such content. Neither Jefferies nor any third-party content providers, including providers of Gen AI models, give any express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Neither Jefferies nor any third-party content provider shall be liable for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Reproduction and distribution of third party content in any form is prohibited except with the prior written permission of the related third party.

Jefferies research reports are disseminated and available electronically, and, in some cases, also in printed form. Electronic research is simultaneously made available to all clients. This report or any portion hereof may not be copied, reprinted, sold, or redistributed or disclosed by the recipient or any third party, by content scraping or extraction, automated processing, or any other form or means, without the prior written consent of Jefferies. Any unauthorized use is prohibited. Neither Jefferies nor any of its respective directors, officers or employees, is responsible for guaranteeing the financial success of any investment, or accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this report or its contents. Nothing herein shall be construed to waive any liability Jefferies has under applicable U.S. federal or state securities laws.

For Important Disclosure information relating to JRS, please see https://adviserinfo.sec.gov/IAPD/Content/Common/crd_iapd_Brochure.aspx?BRCHR_VRSN_ID=483878 and https://adviserinfo.sec.gov/Firm/292142 or visit our website at https://javatar.bluematrix.com/sellside/Disclosures.action, or www.jefferies.com, or call 1.888.JEFFERIES.

© 2025 Jefferies